

ABB Group

Annual Financial Report 2025

Reporting Period: Financial Year 2025 (with comparison to Financial Year 2024)

MOCK / SYNTHETIC FINANCIAL REPORT — FOR AI SYSTEM TESTING

PAGE 1 — COVER / COMPANY OVERVIEW

ABB Group

Headquarters: Zurich, Switzerland

Industry: Industrial Automation, Digital Infrastructure, and Energy Technology

Number of Employees: 112,500 globally

Company Overview

ABB is a global technology leader driving the transformation of industries through electrification, automation, and digitalization. We engineer solutions that optimize operations, enhance energy efficiency, and build resilient digital infrastructures for a sustainable future.

Major Business Areas:

- Industrial Automation:** Advanced robotics, control systems, and automation software for discrete and process manufacturing.
- Energy Systems:** Power generation optimization, grid modernization, and renewable energy integration technologies.
- Digital Infrastructure:** Data center power and cooling solutions, secure networking, and edge computing infrastructure.
- Smart Manufacturing:** IIoT (Industrial Internet of Things) platforms, predictive maintenance, and digital twin technologies.

Regions of Operation:

ABB operates in over 90 countries, with significant presence in North America, Europe, Asia-Pacific, India & South Asia, and the Middle East & Africa.

Management Overview

Fiscal Year 2025 was a year of solid execution for ABB amidst a complex global macroeconomic environment. We saw robust demand in our Digital Infrastructure segment, driven by the rapid expansion of AI-driven data centers. While our Industrial Automation segment faced headwinds due to cautious capital spending in certain discrete manufacturing sectors, our overall portfolio resilience allowed us to deliver top-line growth and improved operating margins. We remain

committed to our strategic priorities of investing in high-growth digital technologies and optimizing our operational footprint.

Key Financial Highlights

(in millions of USD, except per share data)

Metric	FY 2025	FY 2024
Revenue	\$34,150	\$32,450
Operating Income	\$5,120	\$4,510
Net Income	\$3,580	\$3,150
Operating Cash Flow	\$4,850	\$4,100
Total Assets	\$48,200	\$45,800
Total Debt	\$8,500	\$7,800
Total Equity	\$18,400	\$16,500
EPS (Diluted)	\$1.95	\$1.72

PAGE 2 — EXECUTIVE SUMMARY

Management Summary of FY 2025 Performance

Revenue Growth: ABB achieved consolidated revenue of \$34,150 million in FY 2025, representing a 5.2% increase compared to FY 2024. This growth was primarily fueled by exceptional performance in the Digital Infrastructure segment (+14.5%), reflecting sustained global investment in data centers and cloud networks. The Energy Systems segment also contributed positively (+6.0%), driven by grid modernization projects. Industrial Automation revenue was relatively flat (+0.5%), impacted by slower recovery in discrete manufacturing markets, particularly in Europe.

Profitability: Operating Income grew by 13.5% to \$5,120 million, outpacing revenue growth. This improvement was a result of favorable pricing realization, structural cost reductions initiated in late 2024, and a higher proportion of high-margin software and service revenues. The Operating Margin expanded from 13.9% in 2024 to 15.0% in 2025. Net Income increased by 13.7% to \$3,580 million, reflecting strong operational performance partially offset by higher interest expenses.

Cash Flow and Liquidity: Operating Cash Flow was exceptionally strong at \$4,850 million, up 18.3% year-over-year. This improvement was driven by higher net income and focused working capital management, particularly a reduction in inventory days. Free Cash Flow reached \$3,650 million. The company ended the year with a robust cash and cash equivalents balance of \$5,200 million.

Debt Movement: Total Debt increased moderately from \$7,800 million in 2024 to \$8,500 million in 2025. This increase primarily reflects the issuance of new long-term bonds to fund strategic acquisitions in the Smart Manufacturing space and to refinance near-term maturities. Consequently, our debt-to-equity ratio ticked up slightly, though leverage remains well within our target range. Interest expense increased year-over-year due to the higher debt load and a higher average interest rate environment.

Major Business Developments:

- Acquired *SentientEdge Tech*, a specialized industrial AI software provider, integrating their capabilities into our Smart Manufacturing platform.
- Secured several flagship contracts for data center power and cooling infrastructure in North America and the Middle East.
- Initiated a restructuring program in the Industrial Automation segment to align capacity with current demand levels in mature markets.

Major Risks: Management is closely monitoring several risks. We note an increase in days sales outstanding (DSO) leading to a build-up in receivables, signaling potential customer credit strain in certain regions. Furthermore, ongoing geopolitical tensions are increasing supply chain volatility for specific electronic components. We also face foreign exchange headwinds due to a strong US Dollar impacting translation of our European and Asian earnings.

Capital Allocation: Capital expenditure was \$1,200 million, focused on expanding manufacturing capacity for Digital Infrastructure products. We returned \$1,800 million to shareholders through dividends and executed a \$500 million share repurchase program.

Year-Over-Year Financial Highlights

Metric	FY 2025	FY 2024	Change	% Change
Revenue (\$M)	34,150	32,450	+1,700	+5.2%
Operating Income (\$M)	5,120	4,510	+610	+13.5%
Operating Margin	15.0%	13.9%	+1.1 pts	-
Net Income	3,580	3,150	+430	+13.7%

(\$M)				
Free Cash Flow (\$M)	3,650	3,000	+650	+21.7%
EPS (Diluted)	\$1.95	\$1.72	+\$0.23	+13.4%

PAGE 3 — KEY FINANCIAL METRICS

Comprehensive Financial Metrics (in millions of USD, except per share data and percentages)

Metric	FY 2025	FY 2024	Change	% Change
Income Statement				
Revenue	34,150	32,450	+1,700	+5.2%
Gross Profit	11,270	10,380	+890	+8.6%
Operating Income	5,120	4,510	+610	+13.5%
Operating Margin	15.0%	13.9%	+1.1 pts	-
Net Income	3,580	3,150	+430	+13.7%
Net Margin	10.5%	9.7%	+0.8 pts	-
EPS (Diluted)	\$1.95	\$1.72	+\$0.23	+13.4%
Cash Flow				
Operating Cash Flow	4,850	4,100	+750	+18.3%
Capital Expenditure	(1,200)	(1,100)	-100	+9.1%
Free Cash Flow	3,650	3,000	+650	+21.7%

Balance Sheet				
Total Assets	48,200	45,800	+2,400	+5.2%
Total Liabilities	29,800	29,300	+500	+1.7%
Total Equity	18,400	16,500	+1,900	+11.5%
Total Debt	8,500	7,800	+700	+9.0%
Cash & Cash Equivalents	5,200	4,600	+600	+13.0%
Other Metrics				
R&D Expense	1,530	1,460	+70	+4.8%
Dividends Paid	1,800	1,650	+150	+9.1%

PAGE 4 — CONSOLIDATED INCOME STATEMENT

ABB Group Consolidated Statement of Income *(in millions of USD, except per share data)*

	FY 2025	FY 2024
Revenue	34,150	32,450
Cost of Revenue	(22,880)	(22,070)
Gross Profit	11,270	10,380
<i>Gross Margin</i>	33.0%	32.0%
Selling, General & Administrative (SG&A)	(4,620)	(4,410)
Research & Development (R&D)	(1,530)	(1,460)
Total Operating Expenses	(6,150)	(5,870)
Operating Income	5,120	4,510

Interest Expense	(420)	(350)
Other Income/(Expense), net	100	50
Income Before Tax	4,800	4,210
Income Tax Provision	(1,220)	(1,060)
<i>Effective Tax Rate</i>	25.4%	25.2%
Net Income	3,580	3,150
Earnings Per Share		
Basic EPS	\$1.97	\$1.74
Diluted EPS	\$1.95	\$1.72
Weighted Average Shares (Diluted)	1,836	1,831

PAGE 5 — CONSOLIDATED BALANCE SHEET

ABB Group Consolidated Balance Sheet *(in millions of USD)*

Assets	Dec 31, 2025	Dec 31, 2024
Cash and Cash Equivalents	5,200	4,600
Marketable Securities	1,100	900
Accounts Receivable, net	8,400	7,100
Inventory	4,800	5,100
Other Current Assets	900	800
Total Current Assets	20,400	18,500
Property, Plant &	12,600	12,200

Equipment, net		
Goodwill	10,500	10,100
Intangible Assets, net	3,800	4,100
Other Non-current Assets	900	900
Total Assets	48,200	45,800

Liabilities	Dec 31, 2025	Dec 31, 2024
Accounts Payable	6,500	6,100
Short-term Debt & Current Maturities	1,200	800
Other Current Liabilities	5,800	5,500
Total Current Liabilities	13,500	12,400
Long-term Debt	7,300	7,000
Deferred Tax Liabilities	2,100	2,000
Other Non-current Liabilities	6,900	7,900
Total Liabilities	29,800	29,300

Equity	Dec 31, 2025	Dec 31, 2024
Share Capital	200	200
Retained Earnings	19,500	17,720
Other Comprehensive Income	(500)	(800)
Treasury Stock	(800)	(620)
Total Equity	18,400	16,500

Total Liabilities & Equity	48,200	45,800
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Note: Total Assets (\$48,200) = Total Liabilities (\$29,800) + Total Equity (\$18,400) for 2025. Total Assets (\$45,800) = Total Liabilities (\$29,300) + Total Equity (\$16,500) for 2024.

PAGE 6 — CASH FLOW STATEMENT

ABB Group Consolidated Statement of Cash Flows *(in millions of USD)*

	FY 2025	FY 2024
Operating Activities		
Net Income	3,580	3,150
Depreciation & Amortization	1,450	1,380
Change in Accounts Receivable	(1,300)	(500)
Change in Inventory	300	(600)
Change in Accounts Payable	400	350
Other Adjustments	420	320
Net Cash from Operating Activities	4,850	4,100
Investing Activities		
Capital Expenditure (PP&E)	(1,200)	(1,100)
Acquisitions, net of cash acquired	(600)	(300)
Investments (Marketable Securities)	(200)	(100)

Asset Sales & Other	50	80
Net Cash used in Investing Activities	(1,950)	(1,420)
Financing Activities		
Debt Issued (Long-term)	1,500	1,200
Debt Repaid	(800)	(1,500)
Net Change in Short-term Debt	0	(100)
Dividends Paid	(1,800)	(1,650)
Share Repurchases	(500)	(400)
Other Financing Activities	(700)	(120)
Net Cash used in Financing Activities	(2,300)	(2,570)
Effect of Exchange Rates on Cash	0	(10)
Net Change in Cash	600	100
Opening Cash Balance	4,600	4,500
Closing Cash Balance	5,200	4,600

Note: Closing Cash (\$5,200) = Opening Cash (\$4,600) + Net Change (\$600).

PAGE 7 — FINANCIAL RATIOS AND PERFORMANCE

Financial Ratios Table

Ratio	FY 2025	FY 2024	Industry
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			Benchmark
Profitability Ratios			
Gross Margin	33.0%	32.0%	31.5%
Operating Margin	15.0%	13.9%	14.0%
Net Profit Margin	10.5%	9.7%	9.5%
Return on Assets (ROA)	7.6%	7.0%	7.0%
Return on Equity (ROE)	20.5%	19.5%	18.0%
Return on Capital Employed (ROCE)	16.5%	15.2%	15.0%
Liquidity Ratios			
Current Ratio	1.51x	1.49x	1.50x
Quick Ratio	1.16x	1.08x	1.10x
Leverage Ratios			
Debt-to-Equity	0.46x	0.47x	< 0.60x
Debt-to-EBITDA	1.29x	1.32x	< 1.50x
Interest Coverage	12.2x	12.9x	> 10.0x
Efficiency Ratios			
Free Cash Flow Margin	10.7%	9.2%	10.0%
Asset Turnover	0.72x	0.72x	0.75x

Interpretation of Major Changes:

- Profitability:** Strong improvement across all profitability margins (Gross, Operating, Net) reflects the successful execution of cost-reduction initiatives and a favorable shift towards

higher-margin software and service revenues, particularly in the Digital Infrastructure segment. ROE and ROCE also showed robust year-over-year gains.

- **Liquidity:** The liquidity position remains healthy, with both the Current and Quick ratios showing slight improvements. The reduction in inventory levels contributed to a stronger Quick ratio.
- **Leverage:** While total debt increased in absolute terms to fund acquisitions, the Debt-to-Equity and Debt-to-EBITDA ratios slightly improved due to strong earnings and equity growth. Interest coverage decreased marginally due to a higher interest rate environment but remains very comfortable.
- **Efficiency:** The Free Cash Flow Margin saw a significant jump, underscoring the company's strong cash conversion capabilities in FY 2025.

PAGE 8 — BUSINESS SEGMENTS

Segment Performance Summary

Segment	Revenue FY25 (\$M)	Revenue FY24 (\$M)	Growth %	Op. Income FY25 (\$M)	Op. Margin FY25	Backlog FY25 (\$M)
Industrial Automati on	12,500	12,440	+0.5%	1,810	14.5%	8,100
Energy Systems	9,850	9,290	+6.0%	1,430	14.5%	6,500
Digital Infrastruc ture	8,200	7,160	+14.5%	1,480	18.0%	5,200
Smart Manufact uring	3,600	3,560	+1.1%	400	11.1%	2,100
Total	34,150	32,450	+5.2%	5,120	15.0%	21,900

Segment Analysis:

- **Industrial Automation:** Revenue was flat, impacted by weakness in discrete manufacturing, particularly in the European automotive sector. However, restructuring efforts maintained operating margins at a healthy 14.5%.

- **Energy Systems:** Solid 6.0% growth driven by grid modernization and renewable integration projects globally. Operating margins improved slightly due to better project execution.
- **Digital Infrastructure:** The standout performer with 14.5% revenue growth. The surge in AI and cloud computing investments drove intense demand for data center power and cooling solutions. This segment also boasts the highest operating margin at 18.0%.
- **Smart Manufacturing:** Modest growth of 1.1%, reflecting longer sales cycles for enterprise-wide IIoT implementations. The acquisition of *SentientEdge Tech* is expected to accelerate growth in this segment in FY26.

PAGE 9 — GEOGRAPHICAL PERFORMANCE

Revenue by Geographic Region

Region	Revenue FY25 (\$M)	Revenue FY24 (\$M)	Growth %	% of Total Revenue FY25
North America	10,950	9,950	+10.1%	32.1%
Europe	9,500	9,600	-1.0%	27.8%
Asia-Pacific	8,200	7,850	+4.5%	24.0%
India & South Asia	3,100	2,800	+10.7%	9.1%
Middle East & Africa	2,400	2,250	+6.7%	7.0%
Total	34,150	32,450	+5.2%	100.0%

Geographical Analysis:

- **North America:** Delivered the strongest absolute growth (+10.1%), fueled by significant investments in Digital Infrastructure (data centers) and reshoring/nearshoring initiatives boosting the Industrial Automation segment.
- **Europe:** Experienced a slight contraction (-1.0%), primarily due to a sluggish macroeconomic environment and weakness in the automotive manufacturing sector impacting Industrial Automation orders.
- **Asia-Pacific:** Solid growth of 4.5%, driven by sustained infrastructure spending in China and Southeast Asia, despite some localized economic headwinds.
- **India & South Asia:** The fastest-growing region on a percentage basis (+10.7%), reflecting rapid industrialization, grid modernization, and increasing adoption of automation technologies.

- Middle East & Africa:** Healthy growth of 6.7%, supported by energy sector investments and infrastructure diversification projects.

PAGE 10 — DEBT AND LIQUIDITY

Debt Profile and Liquidity Position

Metric (\$M unless noted)	FY 2025	FY 2024
Short-term Debt & Current Maturities	1,200	800
Long-term Debt	7,300	7,000
Total Debt	8,500	7,800
Less: Cash & Cash Equivalents	5,200	4,600
Less: Marketable Securities	1,100	900
Net Debt	2,200	2,300
Interest Expense	420	350
Average Interest Rate	5.1%	4.6%
Debt-to-Equity	0.46x	0.47x
Debt-to-EBITDA	1.29x	1.32x
Interest Coverage Ratio	12.2x	12.9x

Debt Maturity Schedule

Year	Amount Due (\$M)
2026	1,200
2027	1,500
2028	1,800
2029	1,100

2030+	2,900
Total	8,500

Liquidity Assessment:

ABB maintains a strong liquidity position. The \$600 million increase in Cash and Cash Equivalents, combined with strong Operating Cash Flow (\$4,850M), provides ample headroom for operational needs, dividends, and planned capital expenditures. Total debt increased by \$700 million, primarily due to the issuance of new long-term bonds to finance the *SentientEdge Tech* acquisition and refinance near-term maturities.

Red Flag Signals (Monitored):

While overall leverage remains low, the average interest rate increased from 4.6% to 5.1%, leading to a \$70 million increase in interest expense. Furthermore, there is a relatively high concentration of debt maturing in 2027 and 2028 (\$3,300 million combined), which will require proactive refinancing management in the coming years, particularly if interest rates remain elevated.

PAGE 11 — CAPITAL ALLOCATION

Capital Allocation Summary

Metric (\$M)	FY 2025	FY 2024	Change
Operating Cash Flow	4,850	4,100	+750
Capital Expenditure (CapEx)	(1,200)	(1,100)	-100
Free Cash Flow	3,650	3,000	+650
R&D Investment (Expensed)	1,530	1,460	+70
Acquisitions (Net of cash acquired)	(600)	(300)	-300
Dividends Paid	(1,800)	(1,650)	-150
Share Repurchases	(500)	(400)	-100

Debt Repayment	(800)	(1,500)	+700
Debt Issued	1,500	1,200	+300

Management's Capital Allocation Priorities:

1. **Organic Growth:** Our primary focus remains on funding organic growth through strategic CapEx and R&D. CapEx increased to \$1,200M, predominantly directed towards expanding manufacturing capacity for our high-demand Digital Infrastructure cooling solutions.
2. **Dividend Growth:** We are committed to a progressive dividend policy. Dividends paid increased by 9.1% to \$1,800M, reflecting confidence in our long-term cash generation.
3. **Strategic M&A:** We will pursue targeted, bolt-on acquisitions that enhance our software and digital capabilities. The \$600M spent in FY25 largely relates to the *SentientEdge Tech* acquisition.
4. **Share Repurchases:** We utilize share repurchases to return excess capital to shareholders and offset dilution from employee stock plans, spending \$500M in FY25.
5. **Balance Sheet Strength:** We aim to maintain a strong investment-grade credit rating. While new debt was issued this year for M&A, our Net Debt position actually decreased slightly to \$2,200M due to strong cash generation.

PAGE 12 — R&D AND INNOVATION

Research and Development Investments

Metric	FY 2025	FY 2024	Change
R&D Expenditure (\$M)	1,530	1,460	+4.8%
R&D as % of Revenue	4.48%	4.50%	-0.02 pts

Major Technology Focus Areas (FY 2025):

- **AI and Machine Learning:** Integrating AI into our Smart Manufacturing platform for predictive maintenance and autonomous process optimization. The acquisition of *SentientEdge Tech* significantly bolstered these capabilities.
- **Digital Infrastructure (Data Centers):** Developing next-generation, high-efficiency liquid cooling systems and modular power distribution units (PDUs) to support high-density AI servers.
- **Energy Efficiency & Electrification:** Advancing solid-state transformer technology and software-defined power networks for grid modernization and renewable energy

integration.

- **Advanced Robotics:** Enhancing collaborative robots (cobots) with improved vision systems and AI-driven path planning for dynamic manufacturing environments.
- **Cybersecurity:** Embedding "secure-by-design" principles across all IIoT devices and control systems to protect critical industrial infrastructure from evolving cyber threats.

Innovation Highlights:

While R&D spending increased in absolute terms, it remained relatively stable as a percentage of revenue. Our focus has shifted slightly towards software and digital service development, which now constitutes approximately 60% of our total R&D budget, reflecting the evolving needs of our industrial customer base.

PAGE 13 — FINANCIAL RISK FACTORS

Management has identified the following principal financial risks that could adversely affect our business, financial condition, or results of operations.

1. Customer Credit Risk and Receivables Build-up

- **Description:** An increase in days sales outstanding (DSO) has led to a build-up in accounts receivable (\$8,400M in FY25 vs. \$7,100M in FY24). This signals potential credit strain among customers, particularly in the European discrete manufacturing sector.
- **Potential Financial Impact:** Increased bad debt expense, write-offs of uncollectible accounts, and negative impacts on operating cash flow.
- **Mitigation:** Tightening credit approval processes, increasing the use of letters of credit, and proactive collections management.

2. Foreign Exchange (FX) Exposure

- **Description:** As a global company, a significant portion of our revenue and expenses are denominated in currencies other than the US Dollar (our reporting currency), notably the Euro and the Chinese Yuan. The sustained strength of the US Dollar creates translation headwinds.
- **Potential Financial Impact:** Negative translation adjustments reducing reported USD revenue and earnings. Mismatches in currency-denominated costs and revenues can impact operating margins.
- **Mitigation:** Utilizing forward contracts and options to hedge forecasted transactions and maintaining a natural hedge by matching local currency costs with local currency revenues where possible.

3. Supply Chain Volatility and Commodity Prices

- **Description:** Ongoing geopolitical tensions continue to cause volatility in the supply chain for specific electronic components (e.g., specialized semiconductors) and raw materials (e.g., copper, steel).
- **Potential Financial Impact:** Increased cost of goods sold (COGS) putting pressure on

gross margins. Production delays leading to deferred revenue recognition and potential contract penalties.

- **Mitigation:** Diversifying the supplier base, increasing safety stock for critical components, and incorporating price-escalation clauses into long-term customer contracts.

4. Interest Rate Risk and Debt Refinancing

- **Description:** We have \$3,300 million in debt maturing between 2027 and 2028. The current elevated interest rate environment increases the cost of refinancing this debt.
- **Potential Financial Impact:** Higher interest expenses, reducing net income and free cash flow available for other capital allocation priorities.
- **Mitigation:** Monitoring capital markets to identify optimal refinancing windows and utilizing interest rate swaps to manage the mix of fixed and floating rate debt.

5. Margin Pressure in Industrial Automation

- **Description:** Slower economic recovery in Europe has led to cautious capital spending by discrete manufacturers, leading to flat revenue and pricing pressure in the Industrial Automation segment.
- **Potential Financial Impact:** Decline in overall corporate operating margins if the weakness persists and cost reductions do not offset volume declines.
- **Mitigation:** Executing a restructuring program to lower the segment's fixed cost base and pivoting sales focus towards higher-growth sub-segments like packaging and logistics automation.

PAGE 14 — LEGAL, AUDIT AND GOVERNANCE

Auditor Information:

- **Independent Registered Public Accounting Firm:** K-Audit Global LLP
- **Audit Opinion:** Unqualified (clean) opinion on the consolidated financial statements for the fiscal year ended December 31, 2025.

Internal Controls Over Financial Reporting:

Management assessed the effectiveness of internal controls over financial reporting as of December 31, 2025. K-Audit Global LLP has also audited the effectiveness of these controls.

- **Identified Weakness (Red Flag Signal):** Management identified a *significant deficiency* (but not a material weakness) in the internal controls related to the timely reconciliation of intercompany transactions and localized inventory valuation within a recently acquired subsidiary in the Smart Manufacturing segment. While this did not result in a material misstatement of the consolidated financial statements, it requires remediation to prevent potential future errors in segment-level reporting. Remediation plans are actively being implemented.

Legal Proceedings:

ABB is involved in various legal proceedings arising in the ordinary course of business.

- **Regulatory Matter:** The company is currently cooperating with an inquiry by the European Commission regarding legacy bidding practices in the high-voltage cable market dating back to 2015-2018. Management has recorded a provision of \$45 million (included in Other Current Liabilities) based on a reasonable estimate of potential fines, though the final outcome remains uncertain.

Governance Structure:

- **Board of Directors:** Consists of 11 members, 9 of whom are independent.
- **Committees:** Audit Committee, Compensation Committee, and Nominating & Corporate Governance Committee (all comprised solely of independent directors).

Related-Party Transactions:

During FY 2025, there were no material related-party transactions that require disclosure under applicable accounting standards.

PAGE 15 — ACCOUNTING POLICIES AND ESTIMATES

Significant Accounting Policies:

- **Revenue Recognition:** Revenue from the sale of standardized products is recognized at a point in time when control transfers to the customer (typically upon shipment). Revenue from customized systems and long-term contracts (e.g., large data center cooling installations) is recognized over *time* using the percentage-of-completion method, measured by costs incurred relative to total estimated costs.
- **Depreciation:** Property, Plant, and Equipment (PP&E) are depreciated on a straight-line basis over their estimated useful lives (Buildings: 30-40 years; Machinery & Equipment: 5-15 years).
- **Goodwill & Intangible Assets:** Goodwill is not amortized but is tested for impairment annually or upon a triggering event. Intangible assets with finite lives (e.g., acquired technology, customer relationships) are amortized over their estimated useful lives (3-15 years).
- **Inventory Valuation:** Inventories are stated at the lower of cost (using the first-in, first-out or weighted-average method) or net realizable value.
- **Leases:** Right-of-use assets and lease liabilities are recognized for all leases with a term greater than 12 months, based on the present value of future lease payments.

Critical Accounting Estimates

The preparation of financial statements requires management to make estimates that affect reported amounts. Actual results could differ.

Estimate Area	FY 2025 Balance Impacted	Key Assumptions / Sensitivities

Revenue Recognition (Over-Time)	Revenue (\$34,150M); Contract Assets/Liabilities	Total estimated costs to complete projects. Changes in raw material or labor costs can impact project profitability and revenue timing.
Expected Credit Losses (ECL)	Accounts Receivable, net (\$8,400M)	Historical loss rates, current economic conditions, and forward-looking macro indicators affecting customer creditworthiness.
Goodwill Impairment	Goodwill (\$10,500M)	Discount rates, terminal growth rates, and future cash flow projections for individual reporting units. <i>Note: The Smart Manufacturing reporting unit has the lowest headroom.</i>
Inventory Obsolescence	Inventory (\$4,800M)	Technological obsolescence and changes in demand for older generation automation products.
Provisions & Contingencies	Provisions (Current & Non-Current)	Probability of adverse legal/regulatory outcomes and estimation of potential financial penalties (e.g., the \$45M provision for the EU inquiry).

PAGE 16 — COMMITMENTS AND CONTINGENCIES

Off-Balance Sheet Commitments and Contingencies

The company has various commitments and contingencies that are not fully reflected on the balance sheet but represent potential future cash outflows.

Type of Commitment/Contingency (\$M)	FY 2025	FY 2024	Change
Purchase Commitments (Raw Materials)	1,450	1,200	+250
Short-Term Lease Commitments (<12 mos)	180	170	+10
Performance Guarantees (Project execution)	2,100	1,850	+250
Financial Guarantees	150	160	-10
Legal & Regulatory Contingencies (Provided)	45	10	+35
Total	3,925	3,390	+535

Details and Risk Analysis:

- **Purchase Commitments:** The \$250M increase in purchase commitments relates primarily to securing long-term supply agreements for critical cooling components needed for the rapidly growing Digital Infrastructure segment. This secures supply but locks the company into specific volumes.
- **Performance Guarantees:** These represent bonds or guarantees provided to customers to assure the completion of large, complex projects (primarily in the Energy Systems and Digital Infrastructure segments). The \$250M increase reflects the growing size of awarded data center contracts. If ABB fails to execute, these guarantees could be called, resulting in significant cash outflows. *(Red Flag Signal for monitoring execution risk).*
- **Legal & Regulatory Contingencies:** The increase to \$45M represents the provision recorded for the ongoing European Commission inquiry regarding legacy high-voltage cable bidding practices, as detailed on Page 14.

PAGE 17 — SUSTAINABILITY / ESG + FINANCIAL CONNECTION

ESG Financial Integration

ABB views sustainability not just as a corporate responsibility, but as a core driver of financial value, risk mitigation, and market opportunity.

ESG Financial Metric	FY 2025	FY 2024	Impact Description
Sustainability-Linked Revenue	\$18,500M	\$16,800M	Revenue from products that explicitly enable customer decarbonization (e.g., grid modernizers, highly efficient motors). Represents 54% of total revenue.
ESG Capital Expenditure	\$280M	\$210M	CapEx specifically directed at reducing ABB's own Scope 1 & 2 emissions (e.g., solar installations at factories, fleet electrification).
Energy Cost Savings	\$45M	\$30M	Direct operational savings realized from internal energy efficiency programs and self-generated renewable power.
R&D in Green Tech	\$850M	\$780M	Portion of total R&D dedicated to energy efficiency and renewable integration technologies.

Financial Risks and Opportunities linked to ESG:

- **Opportunity:** The global energy transition and the explosive growth of power-hungry AI data centers present a massive, multi-decade total addressable market for our Energy Systems and Digital Infrastructure segments.
- **Risk (Regulatory Exposure):** Emerging carbon pricing mechanisms and stricter environmental regulations in Europe and North America could increase the operating costs of our older manufacturing facilities if decarbonization targets are not met.
- **Risk (Supply Chain):** Stricter supply chain due diligence laws (e.g., the EU CSDDD) require increased investment in auditing and monitoring systems to ensure suppliers meet labor and environmental standards, modestly increasing SG&A expenses.

PAGE 18 — MANAGEMENT OUTLOOK

Management Outlook / Forward-Looking Statements

The following expectations are based on current market conditions and management's strategic plans. These are forward-looking statements and are subject to risks and uncertainties.

FY 2026 Expectations:

- **Expected Revenue Growth:** 4.0% to 6.0% (Comparable, constant currency). Growth will continue to be heavily weighted towards the Digital Infrastructure and Energy Systems segments. We expect Industrial Automation to remain flat or show low-single-digit growth as European markets stabilize.
- **Expected Operating Margin:** 15.2% to 15.6%. We anticipate slight margin expansion driven by the realization of cost savings from the FY25 restructuring in Industrial Automation and a continued favorable product mix.
- **Expected Capital Expenditure:** Approximately \$1,100 million to \$1,250 million, remaining focused on capacity expansion for data center cooling and power solutions.
- **Expected R&D Investment:** Approximately 4.5% of revenue, maintaining our commitment to innovation, particularly in AI-driven industrial software and high-efficiency power electronics.
- **Expected Free Cash Flow:** We expect Free Cash Flow conversion (FCF / Net Income) to remain strong, targeting >95%.

Major Strategic Priorities for FY 2026:

1. Successfully integrate the *SentientEdge Tech* acquisition to accelerate software revenue growth.
2. Execute the Industrial Automation restructuring plan to protect margins in a soft demand environment.
3. Expand manufacturing footprint in North America to capitalize on infrastructure spending and nearshoring trends.

Major Risks to Outlook:

- A deeper-than-expected recession in Europe significantly impacting industrial capital spending.
- Supply chain disruptions limiting our ability to execute on the strong Digital Infrastructure backlog.
- Adverse foreign exchange movements, particularly a stronger US Dollar.

PAGE 19 — KEY NOTES AND FINANCIAL TABLES

Table A: Revenue by Business Segment & Quarter (FY 2025, \$M)

Segment	Q1	Q2	Q3	Q4	Total FY25
Industrial Automation	3,100	3,150	3,050	3,200	12,500
Energy Systems	2,350	2,400	2,500	2,600	9,850
Digital Infrastructure	1,800	1,950	2,100	2,350	8,200
Smart Manufacturing	850	900	900	950	3,600
Total Revenue	8,100	8,400	8,550	9,100	34,150

Table B: Working Capital Components (\$M)

Component	Dec 31, 2025	Dec 31, 2024	Change
Accounts Receivable, net	8,400	7,100	+1,300
Inventory	4,800	5,100	-300
Accounts Payable	(6,500)	(6,100)	-400
Net Working	6,700	6,100	+600

Capital			
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Table C: Detailed Debt Schedule (\$M)

Debt Instrument	Interest Rate	Maturity	Balance FY25
Commercial Paper (Short-term)	Floating (avg 5.2%)	< 1 year	700
Current Maturities of LT Debt	Various	2026	500
Senior Notes (EUR)	3.50% Fixed	2027	1,500
Senior Notes (USD)	4.25% Fixed	2028	1,800
Senior Notes (USD)	5.50% Fixed	2029	1,100
Term Loan (USD)	Floating + 1.5%	2031	1,400
Senior Notes (EUR)	4.00% Fixed	2035	1,500
Total Debt			8,500

Table D: EPS and Share Information

Metric	FY 2025	FY 2024
Net Income (\$M)	3,580	3,150
Weighted Avg Shares - Basic (M)	1,815	1,810
Weighted Avg Shares - Diluted (M)	1,836	1,831
Basic EPS	\$1.97	\$1.74
Diluted EPS	\$1.95	\$1.72
Dividends Paid per Share	\$0.98	\$0.90

PAGE 20 — ANALYST-STYLE SUMMARY

ABB Group (FY 2025) — Analyst Briefing Summary

Overall Assessment:

ABB delivered a resilient FY 2025 performance. The company successfully capitalized on secular megatrends in electrification and AI-driven data center expansion, which offset significant cyclical weakness in its European industrial automation markets. The 13.5% growth in operating income on 5.2% revenue growth demonstrates strong operating leverage and effective cost management.

Business Performance:

- **The Bull Case:** The Digital Infrastructure segment is booming (+14.5% revenue), driven by an unquenchable thirst for data center cooling and power solutions. Energy Systems is also performing reliably (+6.0%).
- **The Bear Case:** Industrial Automation is stalled (+0.5%). Exposure to the sluggish European automotive and discrete manufacturing sectors is a drag on overall top-line growth.

Financial Health & Risk Signals:

- **Profitability:** Excellent. Operating margins expanded by 110 bps to 15.0%.
- **Cash Flow:** Outstanding. Free Cash Flow grew by 21.7% to \$3,650M, driven by strong earnings and effective inventory reduction.
- **Leverage:** Manageable, but increasing. Debt-to-EBITDA sits at a comfortable 1.29x.
- **Red Flags (To Monitor):**
 1. *Receivables Build-up:* Accounts Receivable jumped by \$1,300M, outpacing revenue growth, suggesting customers are taking longer to pay.
 2. *Performance Guarantees:* A \$250M increase in off-balance sheet performance guarantees elevates execution risk on large projects.
 3. *Internal Controls:* The identified significant deficiency in intercompany reconciliations at a subsidiary warrants close monitoring for remediation.

Management Outlook:

Guidance for FY26 is pragmatic (4-6% revenue growth, slight margin expansion). The strategy heavily relies on the continued momentum of the data center and grid modernization markets to compensate for the anticipated slow recovery in traditional industrial automation.

Key Metrics at a Glance (Consolidated)

Key Metric	FY 2025	FY 2024	Trend
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Revenue	\$34,150M	\$32,450M	Positive (+5.2%)
Operating Income	\$5,120M	\$4,510M	Positive (+13.5%)
Operating Margin	15.0%	13.9%	Positive (+1.1 pts)
Net Income	\$3,580M	\$3,150M	Positive (+13.7%)
Diluted EPS	\$1.95	\$1.72	Positive (+13.4%)
Free Cash Flow	\$3,650M	\$3,000M	Positive (+21.7%)
Total Debt	\$8,500M	\$7,800M	Negative (Increased)
Debt-to-Equity	0.46x	0.47x	Stable / Positive
Total Assets	\$48,200M	\$45,800M	Positive (+5.2%)
R&D Expenditure	\$1,530M	\$1,460M	Positive (+4.8%)